

Intel (INTC US)

Mid-Qtr Update on Yield Expansion, Foundry Wins

Maintained Buy  
Target price \$150

**Raise TP to \$150:** Intel share price has underperformed since July, due to new share offerings (which we view as long-term constructive) and concerns over PC cuts at TSMC which were misleading. Based on our supply chain research, we believe its yields for server CPU (18A) and EMIB substrate were better than expected. That said, it is on track to expand the Foundry client base which will be from existing top-tier U.S. fabless to Terafab cooperation and HBM base die, which is likely in 2029 for 2 major ones. Meanwhile, CPU tailwinds, strengthened by GPT-6, continue. We fine tune our EPS estimates by +2%/+0% in 2026E/2027E and lift TP from \$136 to \$150, now based on SOTP.

**CPU tailwinds on GPT-6, NVDA cooperation for head-node:** We expect compute demand to continue scaling, with GPT-6’s agentic capabilities, which extends from coding to broader knowledge work such as financial modeling and scientific workflows, benefiting CPU demand. We reiterate our view that the global server CPU TAM to reach \$211bn by 2030. For Intel, we believe its CWF will start in small volume in late-2026 with full production in 1Q27, yet, the major volume will be Diamond Rapids, supported by stronger SRAM/LPDDR5X and number of cores, likely in mid-2027. For NVDA, we still expect a potential cooperation in PC and now expect a likely x86 CPU adoption for head-node as a variant of Rosa Feynman platform.

**Foundry yields & projects:** **1) Yields:** Following our earlier view of 18A yields of ~80% in 2Q26 for Pather Lake, we believe the larger sized server CPU, CWF, has been improved to ~50% yields, vs. ~20% in June; **2) Capacity:** we reiterate our report of *Big Lift on Foundry Capacity on June 8* of 40/60/80KPM and 0/6/24KPM for 18A/14A by end-2026/2027/2028. **3) Projects:** Following our report of *More Than Just Apple on Dec 1* (highlighted Apple, Nvidia, etc), we believe it is working on the Terafab project, likely providing IP licensing, factory build-up, etc. **4) HBM base die:** We expect it to be in 2029, likely for 2 major HBM suppliers.

**EMIB & substrate yields tracking ahead:** We believe the market concerns over EMIB substrate yields were based on outdated datapoints, while our supply chain research suggests development continues to advance, with two Japanese suppliers improving yields from 20–25% on initial testing vehicles to ~45% on the testing vehicles in Aug. This is on track to reach the following yield target of >50% in certified testing vehicles and ~55% in Jan. We reiterate our robust customer pipeline on \$1.1bn/\$7bn backend revenue in 2027E/2028E.

**Risks:** 1) AI slowdown; 2) new product/node delay; 3) yield rates; 4) competition.

Profit forecast

|                    | 2024   | 2025   | 2026E  | 2027E  | 2028E  |
|--------------------|--------|--------|--------|--------|--------|
| Revenue (m)        | 53,101 | 52,853 | 64,081 | 79,459 | 96,910 |
| Revenue YoY (%)    | -2.1   | -0.5   | 21.2   | 24.0   | 22.0   |
| Net profit (m)     | -566   | 1,929  | 8,354  | 14,527 | 21,821 |
| Net profit YoY (%) | N.A.   | N.A.   | 333.1  | 73.9   | 50.2   |
| EPS (\$)           | -0.1   | 0.4    | 1.6    | 2.8    | 4.2    |
| P/E                | N.A.   | 160.6  | 64.7   | 37.2   | 24.8   |
| ROE (%)            | N.A.   | 1.7    | 5.7    | 9.1    | 12.0   |

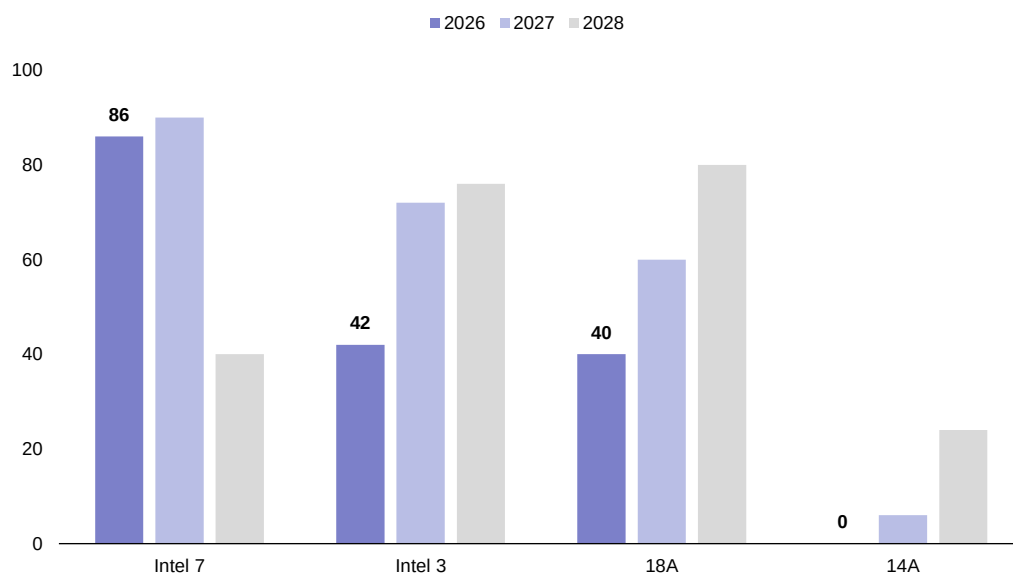
Source: Company data, GF Securities (Hong Kong) Brokerage.

Please be sure to read the disclosures at the end of this report carefully.

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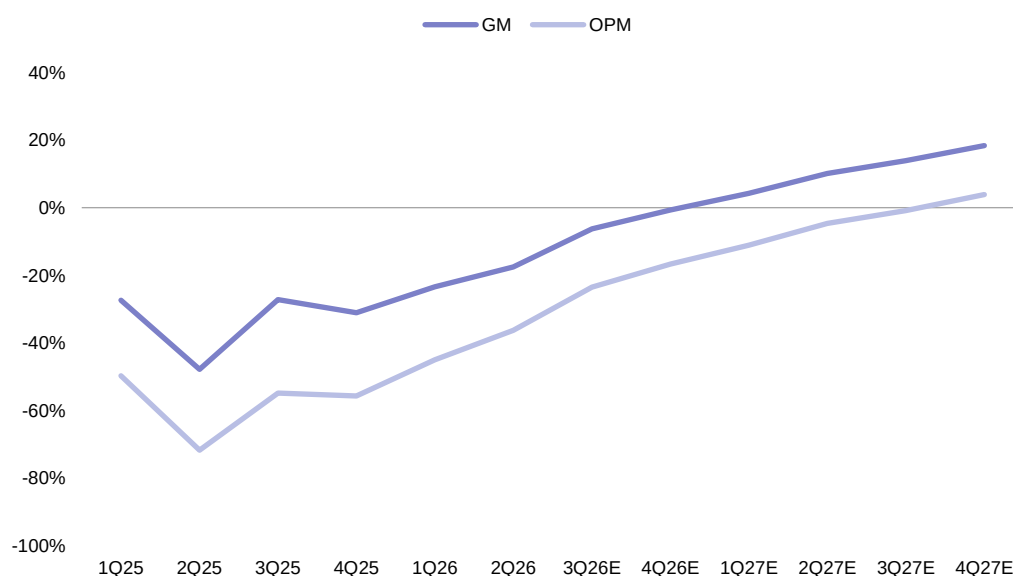
## Earnings Forecast

Figure 1: Our foundry installed capacity assumptions (000, month, end of the year)



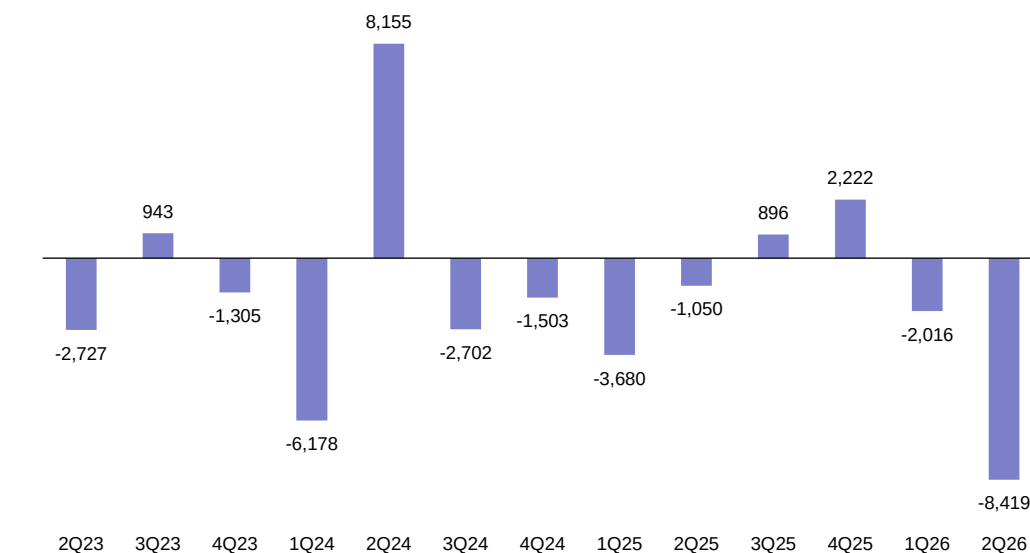
Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: Foundry GM, OPM forecast



Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: Intel's adjusted free cash flow (USD m)



Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 4: Intel's Server CPU Roadmap

| Architecture     | Sapphire Rapids | Emerald Rapids | Sierra Forest         | Granite Rapids           | Clearwater Forest | Diamond Rapids |
|------------------|-----------------|----------------|-----------------------|--------------------------|-------------------|----------------|
| Xeon Scalable    | 4th Gen         | 5th Gen        | 6th Gen               | 6th Gen                  | 7th Gen           | 7th Gen        |
| Platform         | Eagle Stream    | Eagle Stream   | Birch Stream          | Birch Stream             | Birch Stream      | Oak Stream     |
| Launch Date      | 1Q23            | 4Q23           | 2Q24                  | 4Q24                     | 2H26              | 2H27           |
| Fabrication Node | Intel 7         | Intel 7        | Intel 3               | Intel 3                  | Intel 18A         | Intel 18A      |
| Core µArch       | Golden Cove     | Raptor Cove    | E-Core<br>(Crestmont) | P-Core<br>(Redwood Cove) | E-Core            | P-Core         |
| Cores/Threads    | 60/120          | 64/128         | 144/144               | 128/256                  | 288/288           | 256/-          |
| Socket           | LGA 4677        | LGA 4677       | LGA 4710/7529         | LGA 4710/7529            | LGA 7529          | LGA 9324       |
| L3 Cache         | 112.5MB         | 320MB          | 108MB                 | 480MB                    | 576MB             | 1,280MB        |
| Memory Support   | DDR5            | DDR5           | DDR5                  | DDR5                     | DDR5              | DDR5           |
| Memory Bandwidth | 307GB/s         | 358GB/s        | 410GB/s               | 845GB/s                  | 1.3TB/s           | 1.64TB/s       |
| PCIe Gen         | PCIe 5.0        | PCIe 5.0       | PCIe 5.0              | PCIe 5.0                 | PCIe 5.0          | PCIe 6.0       |

Sources: Company data, GF Securities (Hong Kong) Brokerage

## Earnings revision

By factoring in higher Foundry revenue and higher share counts (post new share offerings), we fine tune our EPS by +2%/0% in 2026E/2027E respectively

**Figure 5: Earnings revision**

| USD m            | 2025   | 2026E  |        | 2027E  |        | Change (%) |       |
|------------------|--------|--------|--------|--------|--------|------------|-------|
|                  |        | Old    | New    | Old    | New    | 2026E      | 2027E |
| Net sales        | 52,853 | 63,740 | 64,081 | 77,424 | 79,459 | 1%         | 3%    |
| Gross profit     | 19,410 | 26,940 | 26,893 | 34,967 | 35,620 | 0%         | 2%    |
| Operating profit | 2,916  | 11,058 | 10,913 | 16,267 | 16,634 | -1%        | 2%    |
| Pre-tax Income   | 2,154  | 9,132  | 9,559  | 14,981 | 15,437 | 5%         | 3%    |
| Net profit       | 1,929  | 7,974  | 8,354  | 14,123 | 14,527 | 5%         | 3%    |
| EPS (\$)         | 0.42   | 1.56   | 1.59   | 2.77   | 2.77   | 2%         | 0%    |

| Key ratios (%)    | 2025  | 2026E |       | 2027E |       |  |  |
|-------------------|-------|-------|-------|-------|-------|--|--|
|                   |       | Old   | New   | Old   | New   |  |  |
| Gross margin      | 36.7% | 42.3% | 42.0% | 45.2% | 44.8% |  |  |
| Operating margin  | 5.5%  | 17.3% | 17.0% | 21.0% | 20.9% |  |  |
| Pre-tax margin    | 4.1%  | 14.3% | 14.9% | 19.3% | 19.4% |  |  |
| Net profit margin | 3.6%  | 12.5% | 13.0% | 18.2% | 18.3% |  |  |

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 6: Intel's P&L forecast

| (USD m)              | 2025   | 1Q26   | 2Q26   | 3Q26E  | 4Q26E  | 2026E  | 1Q27E  | 2Q27E  | 3Q27E  | 4Q27E  | 2027E  |
|----------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Sales                | 52,853 | 13,577 | 16,128 | 16,605 | 17,861 | 64,081 | 17,504 | 19,523 | 20,771 | 21,662 | 79,459 |
| COGS                 | 33,443 | 8,007  | 9,391  | 9,620  | 10,170 | 37,188 | 10,060 | 10,876 | 11,420 | 11,483 | 43,839 |
| Gross profit         | 19,410 | 5,570  | 6,737  | 6,985  | 7,691  | 26,893 | 7,444  | 8,646  | 9,351  | 10,180 | 35,620 |
| Opex                 | 16,494 | 3,902  | 3,967  | 3,985  | 4,215  | 16,069 | 4,271  | 4,724  | 4,943  | 5,047  | 18,986 |
| Operating profit     | 2,916  | 1,668  | 2,770  | 3,000  | 3,476  | 10,913 | 3,173  | 3,922  | 4,407  | 5,132  | 16,634 |
| Non-operating profit | -762   | -78    | -646   | -315   | -315   | -1,354 | -299   | -299   | -299   | -299   | -1,197 |
| Pre-tax profit       | 2,154  | 1,590  | 2,124  | 2,684  | 3,161  | 9,559  | 2,874  | 3,622  | 4,108  | 4,833  | 15,437 |
| Income tax           | -171   | -224   | -300   | 295    | 348    | 119    | 313    | 400    | 456    | 541    | 1,709  |
| Minority Interest    | -396   | -329   | -257   | -250   | -250   | -1,086 | 200    | 200    | 200    | 200    | 800    |
| Non-GAAP Net Income  | 1,929  | 1,485  | 2,167  | 2,139  | 2,563  | 8,354  | 2,760  | 3,423  | 3,852  | 4,492  | 14,527 |
| Non-GAAP EPS (\$)    | 0.42   | 0.29   | 0.42   | 0.41   | 0.49   | 1.59   | 0.53   | 0.65   | 0.73   | 0.86   | 2.77   |
| Diluted shares       | 4,530  | 5,083  | 5,104  | 5,253  | 5,253  | 5,253  | 5,253  | 5,253  | 5,253  | 5,253  | 5,253  |
| Margin analysis      |        |        |        |        |        |        |        |        |        |        |        |
| Gross margin         | 36.7%  | 41.0%  | 41.8%  | 42.1%  | 43.1%  | 42.0%  | 42.5%  | 44.3%  | 45.0%  | 47.0%  | 44.8%  |
| Operating margin     | 5.5%   | 12.3%  | 17.2%  | 18.1%  | 19.5%  | 17.0%  | 18.1%  | 20.1%  | 21.2%  | 23.7%  | 20.9%  |
| Pre-tax margin       | 4.1%   | 11.7%  | 13.2%  | 16.2%  | 17.7%  | 14.9%  | 16.4%  | 18.6%  | 19.8%  | 22.3%  | 19.4%  |
| Effective tax rate   | -7.9%  | -14.1% | -14.1% | 11.0%  | 11.0%  | 1.2%   | 10.9%  | 11.0%  | 11.1%  | 11.2%  | 11.1%  |
| Growth (% YoY)       |        |        |        |        |        |        |        |        |        |        |        |
| Sales                | 0%     | 7%     | 25%    | 22%    | 31%    | 21%    | 29%    | 21%    | 25%    | 21%    | 24%    |
| Operating profit     | 1248%  | 142%   | 651%   | 97%    | 188%   | 274%   | 90%    | 42%    | 47%    | 48%    | 52%    |
| Net income           | 441%   | 156%   | 591%   | 109%   | 234%   | 333%   | 86%    | 58%    | 80%    | 75%    | 74%    |
| EPS                  | 414%   | 119%   | 520%   | 80%    | 230%   | 282%   | 80%    | 54%    | 80%    | 75%    | 74%    |
| Product mix (%)      |        |        |        |        |        |        |        |        |        |        |        |
| CCG                  | 61%    | 57%    | 55%    | 52%    | 49%    | 53%    | 51%    | 48%    | 46%    | 42%    | 46%    |
| DCAI                 | 32%    | 37%    | 39%    | 39%    | 39%    | 38%    | 37%    | 38%    | 38%    | 41%    | 39%    |
| IFS                  | 34%    | 40%    | 36%    | 38%    | 38%    | 38%    | 41%    | 40%    | 41%    | 41%    | 41%    |

Sources: Company data, GF Securities (Hong Kong) Brokerage

## Valuation and Recommendation

### Maintain Buy with TP of \$150

We rate Intel (INTC US) Buy and set our TP at \$150, which is based on: 1) 3.5x our 2028E BVPS estimate for Foundry business, a level we view as justified and is slightly higher than tier-2 makers due to Made in U.S. advantages; 2) 20x our 2028E EPS of its Design business, which is lower than the target multiple assigned to its peers' such as AMD, as we believe its Design business is still losing shares in server and part of the earnings is to fund its Foundry segment. Overall, we project its ROE will recover to an above 10% level by 2028E amid the trend of Made in U.S.

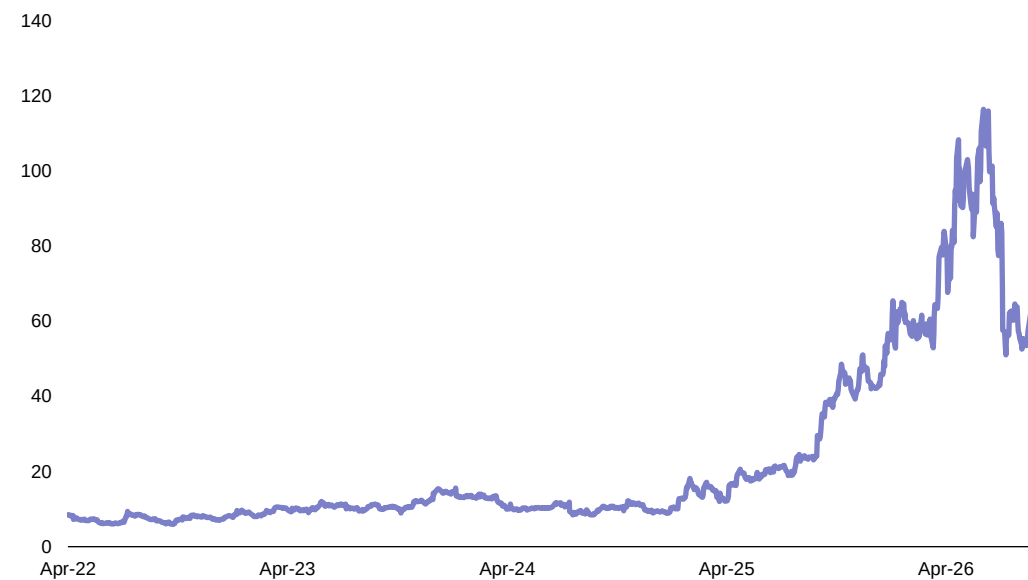
Intel's P/B traded at an average of 1.8x post pandemic when the new "IDM 2.0" and "5Y4N" strategy rolled out, though it didn't really execute. Share price was volatile in the past few years due to events of: 1) multiple delays in leading technologies; 2) inferior financial performance of IFS; 3) mgmt. changes; 4) weak position against TSMC. However, its P/B valuation moved up following the U.S. government's stake purchase in Aug 2025. We expect the upward trend to continue, and our target price is at the high end of its cycle valuation, as we believe the New CEO Lip-Bu Tan's initiatives with financial discipline and process technology development to remake Intel will enhance the company's position in the industry. We believe the critical factors to watch will be Intel's progress of 18A and 14A.

Figure 7: SOTP valuation

| Foundry | BVPS (USD) | Target Multiple | Target Price (USD) |
|---------|------------|-----------------|--------------------|
| 2027    | 21.3       |                 |                    |
| 2028    | 24.3       | 3.5             | 85                 |
| Design  | EPS (USD)  | Target Multiple | Target Price (USD) |
| 2027    | 2.8        |                 |                    |
| 2028    | 3.1        | 20              | 63                 |
| Others  | EPS (USD)  | Target Multiple | Target Price (USD) |
| 2027    | 0.2        |                 |                    |
| 2028    | 0.2        | 15              | 2                  |
| Blended |            | Implied P/E     | Target Price (USD) |
| 2028    |            | 36              | 150                |

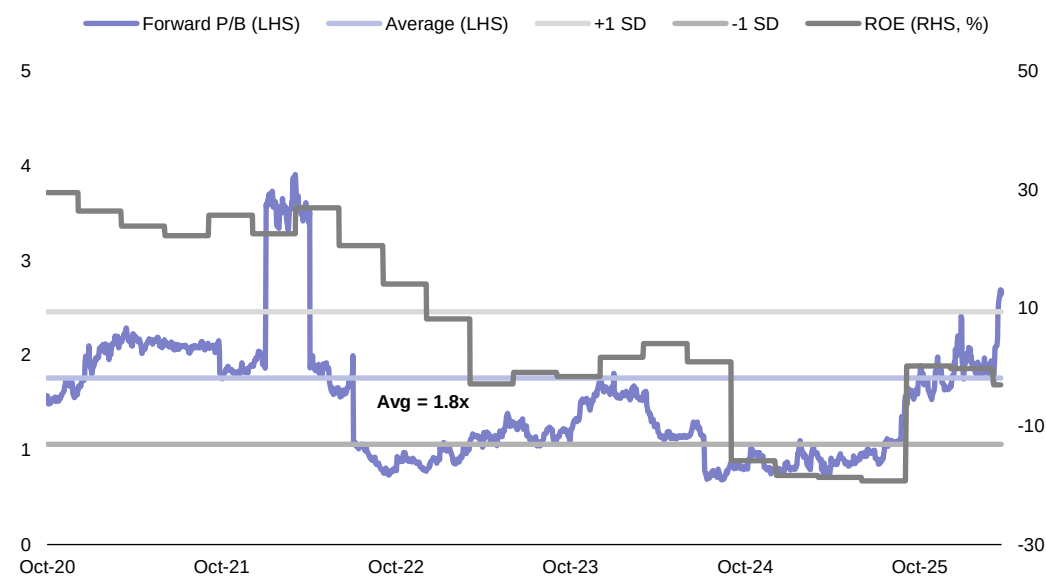
Sources: Company data, GF Securities (Hong Kong) Brokerage

**Figure 8: Intel 12-month forward P/E**



Sources: Bloomberg, GF Securities (Hong Kong) Brokerage

**Figure 9: Intel 12-month forward P/B and ROE**



Sources: Bloomberg, GF Securities (Hong Kong) Brokerage

## Risks

1) AI slowdown; 2) new product/node delay; 3) yield rates; 4) competition.

| Balance Sheet                         |                |                |                |                |                | USD mn |
|---------------------------------------|----------------|----------------|----------------|----------------|----------------|--------|
|                                       | 2024           | 2025           | 2026E          | 2027E          | 2028E          |        |
| <b>Current assets</b>                 | <b>47,324</b>  | <b>63,688</b>  | <b>82,798</b>  | <b>87,366</b>  | <b>100,687</b> |        |
| Cash and cash equivalents             | 22,062         | 26,265         | 36,042         | 27,300         | 26,428         |        |
| Inventory                             | 12,198         | 11,618         | 12,919         | 15,230         | 16,940         |        |
| Accounts Receivable                   | 3,478          | 3,839          | 4,655          | 5,772          | 7,039          |        |
| Other current assets                  | 9,586          | 21,966         | 29,182         | 39,065         | 50,279         |        |
| <b>Non-current assets</b>             | <b>149,161</b> | <b>147,741</b> | <b>168,855</b> | <b>197,619</b> | <b>229,599</b> |        |
| Long-term equity investment           | 5,383          | 8,512          | 8,479          | 8,479          | 8,479          |        |
| Fixed assets                          | 107,919        | 105,414        | 126,561        | 155,325        | 187,305        |        |
| Other long-term assets                | 35,859         | 33,815         | 33,815         | 33,815         | 33,815         |        |
| <b>Total assets</b>                   | <b>196,485</b> | <b>211,429</b> | <b>251,652</b> | <b>284,985</b> | <b>330,286</b> |        |
| <b>Current liabilities</b>            | <b>35,666</b>  | <b>31,575</b>  | <b>36,522</b>  | <b>44,579</b>  | <b>53,077</b>  |        |
| Accounts Payable                      | 12,556         | 9,882          | 10,989         | 12,954         | 14,408         |        |
| Short-term borrowings                 | 3,729          | 2,499          | 2,262          | 2,769          | 3,475          |        |
| Other current liabilities             | 19,381         | 19,194         | 23,271         | 28,856         | 35,194         |        |
| <b>Non-current liabilities</b>        | <b>55,787</b>  | <b>53,494</b>  | <b>57,417</b>  | <b>68,165</b>  | <b>83,147</b>  |        |
| Long-term Debt                        | 46,282         | 44,086         | 48,009         | 58,757         | 73,739         |        |
| Other non-current liabilities         | 9,505          | 9,408          | 9,408          | 9,408          | 9,408          |        |
| <b>Total liabilities</b>              | <b>91,453</b>  | <b>85,069</b>  | <b>93,939</b>  | <b>112,744</b> | <b>136,224</b> |        |
| <b>Total Equity</b>                   | <b>105,032</b> | <b>126,360</b> | <b>157,713</b> | <b>172,240</b> | <b>194,062</b> |        |
| Share Capital                         | 50,949         | 65,185         | 88,185         | 88,185         | 88,185         |        |
| Additional Paid-in Capital            | -711           | 113            | 113            | 113            | 113            |        |
| Retained earnings                     | 49,032         | 48,983         | 57,337         | 71,864         | 93,685         |        |
| Minority interests                    | 5,762          | 12,079         | 12,079         | 12,079         | 12,079         |        |
| <b>Total Liabilities &amp; Equity</b> | <b>196,485</b> | <b>211,429</b> | <b>251,652</b> | <b>284,985</b> | <b>330,286</b> |        |

| Income Statement                |               |               |               |               |               | USD mn |
|---------------------------------|---------------|---------------|---------------|---------------|---------------|--------|
|                                 | 2024          | 2025          | 2026E         | 2027E         | 2028E         |        |
| <b>Revenue</b>                  | <b>53,101</b> | <b>52,853</b> | <b>64,081</b> | <b>79,459</b> | <b>96,910</b> |        |
| Cost of sales                   | 34,002        | 33,443        | 37,188        | 43,839        | 48,762        |        |
| <b>Gross profit</b>             | <b>19,099</b> | <b>19,410</b> | <b>26,893</b> | <b>35,620</b> | <b>48,149</b> |        |
| Operating Expense               | 19,353        | 16,494        | 15,979        | 18,986        | 22,925        |        |
| <b>Operating profit</b>         | <b>-254</b>   | <b>2,916</b>  | <b>10,913</b> | <b>16,634</b> | <b>25,224</b> |        |
| Interest Income                 | 1,245         | 4,257         | 0             | 0             | 0             |        |
| Interest Expense                | -1,034        | -1,000        | -14,044       | -1,397        | -1,734        |        |
| Net other Non-op. Income/(Loss) | -719          | -4,019        | 12,690        | 200           | 200           |        |
| <b>Pre-tax profit</b>           | <b>-762</b>   | <b>2,154</b>  | <b>9,559</b>  | <b>15,437</b> | <b>23,690</b> |        |
| Income tax                      | -97           | -171          | 119           | 1,709         | -144          |        |
| <b>Profit for the year</b>      | <b>-665</b>   | <b>2,325</b>  | <b>9,440</b>  | <b>13,727</b> | <b>23,834</b> |        |
| Minority interest               | 81            | -396          | -1,086        | 800           | 800           |        |
| Net profit to ord. equity       | -566          | 1,929         | 8,354         | 14,527        | 21,821        |        |
| <b>EPS (\$)</b>                 | <b>-0.1</b>   | <b>0.4</b>    | <b>1.6</b>    | <b>2.8</b>    | <b>4.2</b>    |        |

| Cash Flow Statement         |                |                |                |                |                | USD mn |
|-----------------------------|----------------|----------------|----------------|----------------|----------------|--------|
|                             | 2024           | 2025           | 2026E          | 2027E          | 2028E          |        |
| <b>Operating cash flow</b>  | <b>8,288</b>   | <b>9,697</b>   | <b>17,910</b>  | <b>23,827</b>  | <b>32,507</b>  |        |
| Profit for the year         | -566           | 1,929          | 8,354          | 14,527         | 21,821         |        |
| Depreciation & amortization | 11,379         | 13,191         | 13,704         | 15,061         | 17,086         |        |
| Change in working capital   | -38,423        | 0              | -4,148         | -5,760         | -6,400         |        |
| Others                      | 35,898         | -5,423         | 0              | 0              | 0              |        |
| <b>Investing cash flow</b>  | <b>-18,256</b> | <b>-14,821</b> | <b>-34,817</b> | <b>-43,825</b> | <b>-49,066</b> |        |
| Capex                       | -23,944        | -17,700        | -20,000        | -25,000        | -25,000        |        |
| Change in investment        | 446            | -3,129         | 33             | 0              | 0              |        |
| Others                      | 5,242          | 6,008          | -14,850        | -18,825        | -24,066        |        |
| <b>Free cash flow</b>       | <b>-9,968</b>  | <b>-5,124</b>  | <b>-16,908</b> | <b>-19,998</b> | <b>-16,560</b> |        |
| <b>Financing cash flow</b>  | <b>11,138</b>  | <b>11,587</b>  | <b>26,685</b>  | <b>11,255</b>  | <b>15,688</b>  |        |
| Change in Capital           | -4,367         | 19,399         | 23,000         | 0              | 0              |        |
| Net Change in Debt          | 745            | -3,426         | 3,686          | 11,255         | 15,688         |        |
| Others                      | 14,760         | -4,386         | 0              | 0              | 0              |        |
| <b>Exchange influence</b>   | <b>0</b>       | <b>0</b>       | <b>0</b>       | <b>0</b>       | <b>0</b>       |        |
| <b>Net increase in cash</b> | <b>1,170</b>   | <b>6,463</b>   | <b>9,777</b>   | <b>-8,742</b>  | <b>-872</b>    |        |

| Key Financial Ratios    |      |      |       |       |       |
|-------------------------|------|------|-------|-------|-------|
|                         | 2024 | 2025 | 2026E | 2027E | 2028E |
| <b>Growth</b>           |      |      |       |       |       |
| Revenue growth          | -2.1 | -0.5 | 21.2  | 24.0  | 22.0  |
| Operating profit growth | N.A. | N.A. | 274.3 | 52.4  | 51.6  |
| Net profit growth       | N.A. | N.A. | 333.1 | 73.9  | 50.2  |
| <b>Profitability</b>    |      |      |       |       |       |
| Gross profit margin     | 36.0 | 36.7 | 42.0  | 44.8  | 49.7  |
| Operating Profit Margin | -0.5 | 5.5  | 17.0  | 20.9  | 26.0  |
| Net profit margin       | -1.1 | 3.6  | 13.0  | 18.3  | 22.5  |
| <b>Key Ratio</b>        |      |      |       |       |       |
| ROA                     | N.A. | 0.9  | 3.6   | 5.4   | 7.1   |
| ROE                     | N.A. | 1.7  | 5.7   | 9.1   | 12.0  |
| <b>Stability</b>        |      |      |       |       |       |
| Gross debt/equity       | 47.6 | 36.9 | 31.9  | 35.7  | 39.8  |
| Interest Coverage       | 1.7  | -1.2 | 0.3   | -10.0 | -12.7 |
| Current Ratio           | 1.3  | 2.0  | 2.3   | 2.0   | 1.9   |
| Quick Ratio             | 1.0  | 1.6  | 1.9   | 1.6   | 1.6   |
| Net debt/equity         | 39.8 | 25.6 | 16.6  | 26.8  | 32.4  |

## Rating definitions Benchmark: Hang Seng Index (Hong Kong)

|                        |                     |                                                                 |
|------------------------|---------------------|-----------------------------------------------------------------|
| <b>Company ratings</b> | <b>Buy</b>          | Stock expected to outperform benchmark by more than 10%         |
|                        | <b>Hold</b>         | Expected stock relative performance ranges between -10% and 10% |
|                        | <b>Underperform</b> | Stock expected to underperform benchmark by more than 10%       |

|                       |                 |                                                                  |
|-----------------------|-----------------|------------------------------------------------------------------|
| <b>Sector ratings</b> | <b>Positive</b> | Sector expected to outperform benchmark by more than 10%         |
|                       | <b>Neutral</b>  | Expected sector relative performance ranges between -10% and 10% |
|                       | <b>Cautious</b> | Sector expected to underperform benchmark by more than 10%       |

|                  |                  |                                                       |
|------------------|------------------|-------------------------------------------------------|
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